

3.4 Unit 4 ECON4 Economics: The National and International Economy

Unit 4 is synoptic.

It is assumed that the knowledge and skills candidates have acquired in other units will be used to consider concepts, theories and issues introduced in this unit. Candidates are expected to develop further their critical approach to economic models and methods of enquiry. They should be able to analyse and evaluate economic models in written, numerical and graphical forms.

Candidates should be able to apply the AD/AS analysis from Unit 2 to the issues raised in this unit. They should be able to analyse and evaluate the causes of changes in macroeconomic indicators in greater depth than expected at AS Level. There is an emphasis in Unit 4 on the consequences of changes in macroeconomic indicators.

It is expected that candidates will acquire a good knowledge of trends and developments in the economy which have taken place during the past ten years and also have an awareness of earlier events where this helps to give recent developments a longer term perspective.

Candidates should appreciate the ways in which developments in the United Kingdom economy can be related to the global and European Union (EU) contexts.

Examples of issues which could be examined in the **global context** are the impact of China's recent industrial development on the UK economy or the consequences for the UK economy of increased inward investment by multinational companies.

Examples of issues in the **EU context** are the implications for the UK economy of EU enlargement or the possible consequences of postponing a decision on UK membership of the Single European Currency.

Candidates should be prepared to propose, analyse and evaluate possible solutions to macroeconomic problems. They will be required to assess the impact and effectiveness of current government policies to deal with these problems as well as considering alternative policies.